

SFS-006 — Investment Screening and Income Purification

Internal Sharia Compliance Manual · Mal Islamic Bank — Sharia Supervisory Board

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§1 Scope

§1.1 This document governs the screening of companies and assets for inclusion in the Bank's investment products, funds, and discretionary portfolios.

§1.2 Screening has two stages: a qualitative screen of business activity (§3) and a quantitative screen of financial structure (§4). A holding must pass both.

§2 Definitions

§2.1 *Core business* means the activity from which a company derives the majority of its revenue, or which its own reporting identifies as its principal activity.

§2.2 *Incidental income* means revenue from a prohibited source that is not part of the core business, such as interest earned on operating cash balances.

§2.3 *Purification* means donating to charity that portion of a return attributable to incidental prohibited income, so that it does not accrue to the investor.

§3 Sector screening

§3.1 Investment is not permissible in companies whose core business is conventional interest-based banking or lending, conventional insurance, alcohol production or distribution, pork products, gambling and casinos, adult entertainment, or the manufacture of weapons for illegitimate use.

§3.2 Tobacco and conventional entertainment are treated as prohibited by some screening bodies and as requiring review by others. Holdings in these sectors **require review** and may not be approved by portfolio managers without escalation.

§3.3 Where a prohibited activity is incidental rather than core, the quantitative tolerance at §4.2 applies and the resulting income must be purified under §5.

§3.4 A company that provides services predominantly to a prohibited sector is assessed as though it operated in that sector.

§4 Financial screening

§4.1 The purpose of financial screening is to exclude companies whose capital structure depends substantially on interest, even where their business activity is itself permissible.

§4.2 Thresholds applied by the Bank:

§4.3 Interest-bearing debt shall not exceed one third of total assets, measured against trailing twelve-month average market capitalisation where that measure is available.

§4.4 Cash and interest-bearing securities shall not exceed one third of the same measure.

§4.5 Income from prohibited sources shall not exceed five per cent of total revenue.

§4.6 Thresholds differ between screening bodies, and the choice of denominator — total assets or market capitalisation — materially affects the outcome. Every product must state which methodology it applies and must apply it consistently.

§5 Purification

§5.1 Where incidental prohibited income falls within the tolerance at §4.5, the corresponding portion of any dividend or return must be donated to charity and may not be retained by the investor or the Bank.

§5.2 The purification amount must be calculated on the investor's proportionate share of the prohibited income, not on the capital gain.

§5.3 The Bank must disclose to investors the basis of purification and the amounts purified in each period.

§6 Ongoing obligations

§6.1 Screening is not a one-time exercise. Holdings must be re-screened at least each reporting period, since a company's debt ratio or revenue mix may change.

§6.2 A holding that ceases to pass screening must be divested within a reasonable period, ordinarily not exceeding ninety days, and gains attributable to the non-compliant period purified.

§6.3 Where divestment within the period would cause material loss to investors, an extension **requires review** and must be documented.

§7 Assessment criteria

§7.1 A fund or investment product is **non-compliant** where it applies no screening methodology, or where it knowingly includes companies whose core business falls within §3.1.

§7.2 A product is **non-compliant** where it tracks a conventional index without a compliant screening overlay.

§7.3 A product **requires review** where a screening methodology exists but its thresholds, denominator, or purification process are unstated.

§7.4 A product **requires review** where it holds positions in the sectors identified at §3.2.

§7.5 A product is **compliant** where it applies a stated screening methodology consistent with §3 and §4, re-screens at least each reporting period, and purifies incidental prohibited income under §5.

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- AAOIFI Shari'ah Standards — principles concerning investment in shares and screening
- Dow Jones Islamic Market Indices, published screening methodology
- S&P Shariah Indices, published methodology